

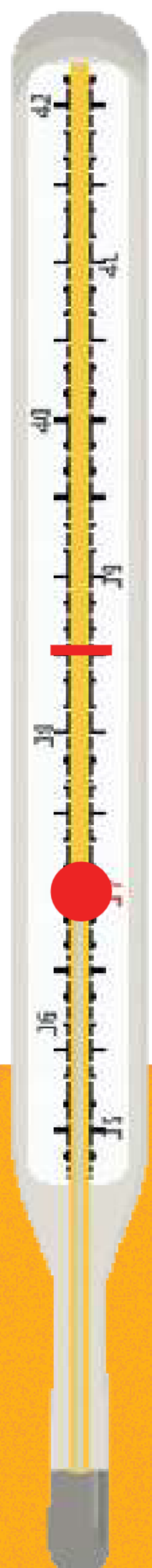
Market Median

The market median salary is the median salary paid by all organizations in the market for a job. You might be wondering why comparison is done with the median salary of the market instead of average salary. We will understand it with an example. If there are 5 companies that offer following compensation for their frontline sales job.

Company	A	B	C	D	E
Salary (INR)	8,000	9,000	10,000	13,000	40,000

In this case the average salary will be INR $(8,000+9,000+10,000+13,000+40,000) / 5 = \text{INR } 16,000$. However the Median is the middle point of the values put in an ascending order. In this case it will be INR 10,000. Median saves you from unnecessarily paying more if one of the competitors is paying irrationally high salaries. **Median salary is also known as the market rate or the 50th percentile.**

What is percentile?



If an organization decides to pay at 25th percentile, it means that only 25% of organizations pay a lower salary for the job role.

Understanding this language is important especially when you purchase salary data from a compensation survey partner. They provide you with the 25th, 50th, and 75th percentiles. Some reports also provide the 10th and 90th percentiles.